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Chapter **14**

Securities Markets: Taking Orders and Executing Trades

Part of your function as a registered rep will be to understand and explain to customers (and potential customers) how the stock market works. I designed this chapter with that in mind (along with the fact that you need to know this stuff for the SIE, of course).

In this chapter, I cover the basics of exchanges and the over-the-counter (OTC) market, along with some of the active participants who help the market run smoothly (at least most of the time). Pay particular attention to the sections “Reviewing basic order types” and “Factoring in order features,” because you’ll definitely use that information every day after you pass the SIE and corequisite tests. The chapter wraps up with a short quiz.

Shopping at Primary and Secondary Markets

Depending on whether the securities are new or outstanding, they trade in either the primary or secondary market. This section deals with the differences between the two.

Buying new in the primary market

The primary market (new issue market) is where the issuer receives the proceeds from the sale of securities. This market's offerings are broken into two categories, depending on whether the company has ever issued securities before. A security that has never been offered or sold to the public is considered a *new issue*. Here are the three types of offerings on the primary market:

- » **Initial public offering (IPO):** An IPO is the first time a corporation ever sells stock to the public to raise money. When a corporation is in the process of issuing securities for the first time, it's said to be *going public*. So, an IPO is the first primary offering.
- » **Primary offering:** A primary offering is the issuer market, where the issuer is selling shares to raise money. Certainly, an IPO falls into that category. However, the corporation usually holds shares back for future use; it later pulls those securities out of storage and sells them in a subsequent (add-on, additional, or follow-up) offering, which is also a primary offering. A corporation may be authorized to sell 2 million shares of common stock, but in its IPO, it may sell only 800,000. At this point, 1.2 million new shares remain that have never been offered to the public. One year later, when the company needs to raise additional capital to build a new warehouse, it can sell some of the remaining 1.2 million shares in a subsequent primary offering.
- » **Combined (split) offering:** This type of offering is a combination of new securities and a large block of outstanding or previously outstanding securities.

When securities are sold in the primary market, the bulk of the sales proceeds goes to the issuer and the balance goes to the entity or entities responsible for selling the securities to the public — the underwriter(s) and selling group members (if any) in other words.

Buying used in the secondary market

When the securities are already trading in the market, the sales proceeds go to another investor instead of to the issuer. The securities sold in a secondary distribution consists of selling already issued and outstanding shares. The secondary market, also called the *aftermarket*, consists of the following categories (see the following section for info on trading on exchanges versus OTC markets):

- » **Second market:** Issued securities trading on an exchange. Auction market.
- » **Third market:** The third market is the over-the-counter (OTC) market, where prices are negotiated, and there is no central location for trading. Any securities that can trade in the second market can also trade in the third market.
- » **Fourth market:** The fourth market is the trading of securities between institutions without the use of a brokerage firm. Fourth-market trades are typically executed through electronic communication networks (ECNs) such as Instinet.



TIP

You're more likely to get a question on the third or fourth market than the first or second.

Making the Trade

After securities are issued publicly, they may trade on an exchange or on the OTC market.

Auctioning securities at securities exchanges

Exchanges are auction markets, where bidders and sellers get together to execute trades. I'm sure you've seen movies or TV shows featuring the NYSE. It definitely looks very chaotic (and like it's

a good place to have a heart attack or develop an ulcer). However, some sort of order is definitely there:

- » All exchanges have a trading floor where all trades are executed.
- » Each security listed on an exchange has its own *trading post* (location) on the floor where the auction takes place.
- » Brokers looking to purchase shout out and/or make hand signals to indicate the price they're willing to spend to buy a particular security.
- » Sellers in turn shout out the price they're willing to sell a security for.
- » If buyers and sellers can come to an agreement, a trade is made.

The main exchange that the SIE tests you on is the NYSE, also known as the Big Board or Exchange, but there are others, such as NYSE Amex Equities (formerly the American Stock Exchange [AMEX]), Nasdaq, Chicago Board Options Exchange (CBOE), Boston Stock Exchange (formerly BSE, now Nasdaq OMX BX), and so on.

Listed securities are ones that satisfy minimum requirements and are traded on a regional or national exchange like the NYSE. Listed securities may trade on the exchange or in the OTC market discussed in the following section.

Although thousands of people may seem to be on the floor of the exchange, you don't need to be aware of too many titles. Most of the people on the floor of the exchange fall into one of three categories:

- » **Floor brokers:** These individuals act as agents in executing buy or sell orders on behalf of their firms' customers. A floor broker may also facilitate buying and selling for their firm. Floor brokers receive buy or sell orders from their firms and either transfer the orders to a designated market maker (see below) or trade with another floor broker.
- » **Two-dollar brokers (independent brokers):** These brokers assist other floor brokers in getting their orders executed on busy days. (By the way, they're called *two-dollar brokers* because many, many years ago, they used to receive \$2 per trade. Commissions may have gone up a bit since then.)
- » **Designated market makers (DMMs; formerly specialists):** These market professionals manage the auction market trading for a particular security (or for a few securities, if not actively traded). Their purpose is to maintain a "fair and orderly market" in one or more securities. A DMM can act as a broker or a dealer (trading out of their own account) to help keep trading as active as possible. An important function of a DMM is to keep track of and execute limit orders on behalf of other exchange members.

Negotiating trades over the counter

Unlike exchanges, the OTC market is considered a negotiated market. Instead of yelling out bid and ask prices, traders buy and sell securities by way of telephone or computer transactions.

There's no central location for trading OTC securities. Instead, traders use the Over the Counter Bulletin Board (OTCBB), which is a quotation service operated by FINRA for unlisted (non-Nasdaq) securities. OTCBB shows bid and ask prices of securities unable to meet the listing requirements for Nasdaq.

Corporations too small to be placed on the OTCBB may still sell their securities in the *Pink Market* (better known as *Pink Sheets* to some). Corporations on the Pink Market are not required to meet the listing requirements or file with the SEC.

Thousands of securities — both listed and unlisted — are traded OTC. In fact, *unlisted securities*, which aren't listed on an exchange, can only trade OTC. Unlisted securities are ones that either don't meet the listing requirements of the exchanges or that the corporation decided it didn't want to list for whatever reason.



REMEMBER

U.S. government and municipal bonds trade only OTC.

OTC market makers

Unlike exchanges where they have designated market makers, the OTC market has none. However, some firms (dealers) will make a market for particular securities and be willing to trade to and from their own inventory. If they wish to make a market in a security, they must receive FINRA's approval. OTC market makers create the inside market by offering to buy and sell securities. The inside market is the highest bid price (the most a market maker is willing to pay) for a security and the lowest ask or offer price (the most a market maker is willing to accept) for a security. In the NASDAQ system, you typically have several market makers for one security. Take a look at what happens when you have several market makers entering quotes for ABCD common stock:

Market Maker	BID	ASK	Size
DK Broker-Dealer	18.30	18.75	5 x 10
Golden Hammer BD	18.25	18.80	20 x 3
Cardinal Wing Securities	18.35	19.05	7 x 14

By looking at this chart, you can see that three market makers have entered quotes for LMNO Common stock as well as the size (how many round lots they're willing to buy and/or sell). To determine the inside market, look at the highest bid price, which was entered by Cardinal Wing Securities, and the lowest ask price, which was entered by DK Broker-Dealer. For LMNO, the inside market is currently 18.35–18.75. Looking at a Level I machine in the brokerage firm, you would see only the name of the security and the inside market price. If you were to give a quote to customers, you would have to let them know it's a subject quote (subject to change) because as buy and sell orders are placed, the inside market will change.



REMEMBER

If you were placing an order to buy, you would buy at the lowest ask price. If you were placing an order to sell, you would sell at the highest bid price. The size of the market relates to how many round lots (100 shares) each market maker is willing to trade. So, if you look at DK Broker-Dealer, they're wanting to purchase five round lots (500 shares) and sell ten round lots (1,000 shares).

Understanding the Role of a Broker-Dealer

I would guesstimate that a large percentage of people taking the SIE exam will be working for a broker-dealer. For a firm to be considered a broker-dealer, it must buy and sell securities from its own account and act as a middleman for securities not in inventory. Here are the differences between brokers and dealers:



REMEMBER

» **Broker:** A firm is acting as a broker when it doesn't use its own inventory to execute a trade. A broker charges a *commission* (sales charge) for acting as a middleman between a buyer and a seller.

For SIE exam purposes, the terms *broker* and *agent* may be used interchangeably. A registered representative is sometimes called an agent or stockbroker because they act as an intermediary between buyers and sellers.

» **Dealer:** A firm is acting as a dealer when it uses its own inventory to execute a trade. When a dealer sells securities to a customer using its own inventory, it charges a *markup* (sales charge). When a dealer buys securities from a customer for its own inventory, it charges a *markdown* (reducing the price a customer receives by charging a sales charge). A firm becomes a dealer in the hopes that the securities it has in its own inventory will increase in price so that the dealer can benefit from the appreciation and subsequent sale of the securities.

The terms *dealer*, *principal*, and *market maker* may be used interchangeably on the SIE and corequisite exams.

Capacity refers to whether a firm is acting as a broker (agent) or dealer (principal), and it must always be disclosed on the *confirmation* (receipt of trade). If a firm is acting as a broker, the commission always needs to be disclosed on the confirmation. However, if a firm is acting as a dealer, the markup or markdown doesn't always have to be disclosed.



REMEMBER

A firm can't act as a broker and a dealer for the same trade. In other words, charging a markup (or markdown) and a commission on the same trade is a violation. (For info on rules and regulations, see Chapter 16.)



TIP

To help you remember the differences between a broker and a dealer, think of a real-estate broker. A real-estate broker (or agent) acts as an intermediary between sellers and buyers and charges a commission, just like a stockbroker does. Conversely, a dealer, like a used-car dealer, sells from their own inventory, charges a markup, and buys in the hopes of making a profit on that inventory.

An introducing broker

An introducing broker (IB) is a person or business that does not actually handle the transactions but just provides investment advice or counsel to investors. In general, an introducing broker will recommend trades to clients while handing over the job of executing the trade to a clearing firm. (See the next section.) In general, the IB and the clearing firm that executes the trade split the trading fees and/or commission.

A clearing (carrying) broker

Clearing brokers (clearing firms) handle orders to buy and sell securities. In addition, clearing brokers maintain custody of clients' assets (securities and cash). Clearing firms are responsible for segregating (separating) clients' cash and securities held in their custody.

A prime broker

Prime brokers are used mainly by institutional accounts or large retail clients. Prime brokerage accounts are ones set up for individuals or entities with more-complex financial needs. Besides helping the client combine information from all firms they are using into one statement, they also provide services such as lending, leveraged trade execution, and cash management. Often, hedge funds use a prime brokerage account.

Receiving and Executing Customer Orders

Here's where the rubber meets the road. You can receive several types of orders from customers along with numerous order qualifiers. This section explains the types of orders and how to execute them.



Unlicensed associated persons *cannot* receive or execute orders for customers. In addition, they cannot discuss securities, recommend securities, talk about investment objectives, and so on. However, they may send out paperwork, answer phonecalls, and so on. In order to discuss investment objectives, take orders, execute trades, and so on, the person must be licensed.

Reviewing basic order types

You can definitely expect a question or two on the SIE exam relating to *orders* (you know, the buying and selling kind). The following sections explore the most common order types.

Market order

A market order is for immediate execution at the best price available. A majority of the orders that you'll receive will be market orders. Here are the varieties they come in:

- » **Buy order:** When an investor places a market order to buy, they're not price-specific; the investor purchases the security at the lowest ask price (the lowest price at which someone's willing to sell the security). An investor who's purchasing a security wants the price to increase (after the sale, of course) and is establishing a bullish position.
- » **Sell order:** When an investor places a market order to sell, they're not price-specific; they sell the security at the highest bid price (the highest price someone's willing to pay for the security).

Note: As with exchanges, the difference between the highest bid price and lowest ask (offer) price in the OTC market is known as the *spread*. Typically, the narrower the spread, the more actively traded the security.



For investors looking to make a profit when they believe the price of a security is going to drop, there's always *selling short*. Selling short occurs when an investor sells securities they don't actually own. (The investor is actually borrowing securities from a lender to sell.)

Here's how selling short works: Say an investor borrows 100 shares of ABC stock and sells them short at \$40 per share, thus receiving \$4,000. The borrower doesn't owe the lender \$4,000; they owe the lender 100 shares of ABC stock. After a month or two, when ABC is trading at \$20 per share, the borrower can purchase the 100 shares for \$2,000 and return them to the lender, making a nice \$2,000 profit (excluding commission costs).

A short seller is bearish (wants the price of the security to decrease). If the price increases instead, the short seller has to buy the stock in the market at a higher price, thus losing money. Remember that all short sales must be executed in margin accounts. Short sales are subject to short-sale regulations under Regulation SHO. (See the nearby sidebar.)

Note: Investors may sell short for *speculation* (believing the price of the security will decrease), *hedging* (protecting a security or several securities in the event of a market decline), or *arbitrage* (taking advantage of a price disparity on the security in different markets).

REGULATION SHO AND SHORT SALES

According to Regulation SHO, which covers the short sale of securities, all order tickets must be marked as *short sale* rather than *long sale*. (In this context, a long sale is one in which a customer is selling securities they actually own, rather than securities they've only borrowed.) Additionally, all brokerage firms must establish rules to locate, borrow, and deliver securities that are to be sold short. Brokerage firms must be sure that the security can be located and delivered on the date the delivery is due before executing the short sale.



REMEMBER

When you purchase a security, the most you can lose is the amount you invest. When you short a security, your maximum loss potential is unlimited because the price of the stock could keep climbing, in which case you'd have to spend more money to cover your short position. Additionally, because of the additional risk, all short sales must be executed in a margin account. Chapter 12 tells you a little more about margin accounts.

Stop order

A stop order is used for protection; it tries to limit how much an investor can lose. (On the other hand, it can also be used to lock in gains.) Depending on whether an investor has a long or short stock position, they may enter a buy stop order or a sell stop order:

- » **Buy stop orders:** These orders protect a short position (when an investor sells borrowed securities). A buy stop tells you to buy a security if the market price touches a particular price or higher. Investors who are short the stock make money when the price of the stock decreases; however, if the price increases, they lose money. An investor who's short ABC stock currently trading at \$25 could enter a buy stop order on ABC at \$30. If ABC reaches \$30 or more, the order is triggered, and the order becomes a market order for immediate execution at the next available price.
- » **Sell stop orders:** These orders protect a long position (when an investor owns the stock involved); they tell you to sell a security if the market price touches a particular price or lower. Investors who are long stock make money when the price of the stock increases; if the price decreases, they lose money. Say an investor who is long DEF stock currently trading at \$50 enters a sell stop order on ABC at \$45. If DEF reaches \$45 or below, the order is triggered, and the order becomes a market order for immediate execution at the next price, whether higher or lower than \$45.

Limit order

A customer who's specific about the price they want to spend or receive for a security places a limit order; this order says the customer doesn't want to pay more than a certain amount or sell for less than a certain amount. Depending on whether an investor is interested in buying or selling, they can enter a buy limit or a sell limit order:

- » **Buy limit orders:** Investors who want to purchase a security place these orders. A buy limit order is a directive to buy a particular security at the limit price or lower. Suppose DEF stock is trading at \$35 per share but one of your customers doesn't want to pay more than \$30 per share. You could place a buy limit order at \$30. If the price of DEF ever reaches \$30 or less, chances are good that your customer will end up with the stock.

» **Sell limit orders:** Investors who want to sell a security place sell limit orders. A sell limit order is a directive to sell a particular security at the limit price or higher. Suppose one of your customers owns LMN stock, which is currently trading at \$62 per share, but they want to receive at least \$70 per share if they're going to sell it. This customer could place a sell limit on LMN at \$70 per share. If LMN touches or goes above \$70 per share, chances are good that the stock will be sold.

Stop limit order

A *stop limit order* is a combination of a stop and limit order (see the preceding sections); it's a buy stop or sell stop order that becomes a limit order after the stop price is reached. An order that reads "sell 1,000 HIJ at 41 stop, 40.75 limit" means that the sell stop order will be triggered as soon as HIJ reaches \$41 or below (the stop price). If this were just a stop order, the stock would be sold on the next trade (no matter what the price). But because this is a stop limit order, after the order is triggered, it becomes a limit order to sell at \$40.75 or above (the limit price). In other words, this customer is interested in selling their stock if it drops to \$41 but wants to receive at least \$40.75 per share.



REMEMBER

Because stop and limit orders are price-specific, they may or may not be executed. Additionally, even if limit orders do reach or surpass the limit price, the order may not be executed if more orders were placed ahead of the investor's order.

Factoring in order features

Besides knowing the basic types of orders (market, stop, and limit; see "Reviewing basic order types"), you should have a handle on some additional features that may be added to the order to make your customers happy. A lot of them exist, but for the most part, the name of the order feature pretty much explains what it is:

» **Day:** If a day order hasn't been filled by the end of the trading day, it's canceled. All price-specific orders (stop and limit) are assumed to be day orders unless marked to the contrary. Most of the orders you'll receive will be market orders for immediate execution at the best price available (highest bid and lowest ask prices).

» **Good-'til-canceled (GTC):** Good-'til-canceled orders are also called *open orders* because the order is kept open until executed or canceled. Say that an investor wants to purchase ABC stock at \$30. While the price of ABC is at \$35, they enter an open buy limit order for ABC at \$30. If the price of ABC ever hits \$30 or below, the order will likely be executed; however, if the price of ABC never hits \$30 or below, the order stays open until canceled.

Note: An investor may specify that they want the order canceled next week, next month, in two months, and so on. Many exchanges no longer take GTC orders, but customers can place them with their broker-dealers, and they will handle it internally. In actual practice, because customers may forget about their GTC orders, many broker-dealers will set them to expire in 30 days, 60 days, 90 days, and so on.

» **Not held (NH):** This order gives the broker discretion about when to execute the trade. Typically, investors use not held orders when the broker believes they can get the customer a better price later in the day.

Not held orders deal only with timing. For registered reps to choose the security, number of shares, and/or whether to buy or sell, the customer needs to open a discretionary account, which requires a written power of attorney. See "Discretionary versus nondiscretionary orders," later in this chapter, for details.

- » **Fill or kill (FOK):** This order instructs a floor broker either to immediately execute an entire order at the limit price or better or to cancel it.
- » **Immediate or cancel (IOC):** These limit orders are similar to FOK orders except that the order may be partially filled. Any portion of the order that's not completed is canceled.
- » **All-or-none (AON):** These limit orders have to be executed either in their entirety or not at all. AON orders don't have to be filled immediately (several attempts to fill the order completely are allowed) and may be day orders or good-till-canceled orders.
- » **At-the-open:** These orders are to be executed at the security's opening price. At-the-open orders can be market or limit orders, but if they aren't executed at the opening price, they're canceled. These orders allow for partial execution.
- » **At the close (market on close):** This order is to be executed at the closing price (or as near as possible). If this order isn't completed, it's canceled.
- » **Do not reduce (DNR):** This order says not to reduce the price of a stop or limit order in response to a dividend. Say that QRS stock is currently trading at \$50 on the day prior to the ex-dividend date (the first day the stock starts trading without a previously declared dividend). If QRS previously announced a \$0.50 dividend, the next day's opening price would be \$49.50. If a customer had placed a DNR limit order to buy 1,000 shares of QRS at \$45, the order wouldn't be reduced by the \$0.50 dividend.
- » **Alternative:** The alternative order is also known as a *one cancels the other order* or an *either/or order*. This type of order instructs the broker to execute one of two orders and then cancel the other. Say Smith owns stock at \$60 per share. They enter a sell stop order at \$55 for protection and a sell limit order at \$70 in the event that the stock price increases. If one of the orders is executed, the other order is canceled immediately.
- » **Bid wanted:** This order is an indication or notice that an investor or broker-dealer wants to sell a security at a specific price. Bid wanted is used most often when no current buyers of a security are available.
- » **Offer wanted:** This order is an indication or notice that an investor or a broker-dealer wants to buy a particular security at a specific price. Offer wanted is used particularly when no current sellers of a security are available.

Following customers' orders or using your discretion

No matter whether a buy or sell order is involved, some customers will be willing to give you a little more input and freedom to make choices for them than others. Other customers are going to provide you with every detail of a trade (security, price, dollar amount, the whole shebang) without needing your input at all, which actually is a good thing.



REMEMBER

No matter what the type of order, or how it's communicated to you, your job and your firm's job is to get your customers the best price available for their orders. As such, your customers' orders cannot be split into multiple smaller orders for execution with the primary purpose of maximizing the amount of money (credits, commissions, gratuities, fees, and so on) that you or your firm makes. In addition, "reasonable diligence" must be used to get the customer the best price. Here are some of the factors involved to determine if reasonable diligence was used: the price of the security, the volatility of the security, the liquidity of the security, the size and type of transaction, the number of markets checked, and accessibility of the quotation.

Discretionary versus nondiscretionary orders

To be sure, most of the orders you will receive from your clients will be nondiscretionary orders. If one of your clients tells you to purchase 100 shares of ABC common stock, they are giving you a nondiscretionary order. It is nondiscretionary because they are giving you all the components of an order: purchase or sell, how many shares or dollar amount, and what security. If the client does not provide that information, it is considered discretionary, meaning that you must use your discretion. Here are some examples of discretionary orders:

"Buy or sell 100 shares of ABC common stock"

"Buy as many shares of ABC common stock as you think I should own"

"Buy 100 shares of pharmaceutical stock"



REMEMBER

Discretionary orders may be executed by a registered rep or brokerage firm without prior verbal permission from the client. Because they don't require verbal approval, the registered rep is required to have a written power of attorney signed by the customer prior to executing any discretionary orders. The power of attorney remains in effect until the discretionary account is closed or the power of attorney is removed by the client. As you can imagine, discretionary orders must be marked as such on the order ticket. In addition, these accounts must be closely watched by a principal of the firm to make sure that there's no excessive trading (churning) for the purpose of generating commission.



TIP

A client may give you approval to place the order at a later time in the day without discretionary authority. Say a client tells you to purchase 100 shares of DIM stock at the market price. You may tell your client that you believe that the price will drop later in the day and you may be able to get him a better price. This is allowed as long as the customer gives verbal approval, and it's not considered a discretionary order.

Solicited versus unsolicited orders

As with nondiscretionary orders, most of the orders you receive from clients will be *solicited* by you, meaning that you may call up one of your clients and say, "DEF Corporation seems to be on the move, so I think it would be wise for you to buy 100 shares of DEF common stock." Because you called and suggested what the client should buy (or sell), you actually solicited that order.

Unsolicited orders are ones in which your client tells you what they want to buy or sell. You may not think that this is the best idea for them and may tell them that, but you are not going to turn down the order and lose commission. In this case, because it was not your suggestion, you need to mark the order ticket in the box that says "unsolicited." This basically takes you off the hook in the event that the client loses money on that particular investment.

It Takes All Kinds: Recognizing Different Types of Investors

As a financial professional, you'll be working with all different types of investors: some smaller investors, some larger investors, corporations, and so on. Part of the SIE exam is knowing that you understand who's who when it comes to these different types of investors.

Retail investors

You are more likely to deal with retail investors than accredited or institutional investors. These guys (or gals) are nonprofessionals who trade (buy or sell) for their own accounts. Retail investors typically purchase or sell a much smaller number of securities than accredited or institutional investors.

Accredited investors

Some investors just have access to more money or are considered more knowledgeable than other investors. The bigger investors are called accredited investors. As such, they are typically able to handle more risk than retail investors. Accredited investors include

- » Financial institutions (banks, insurance companies, pension funds, and so on)
- » Insiders (officers, directors, or owners of 10 percent or more of the outstanding shares of the corporation and their immediate family members)
- » Investors who have an annual income of at least \$200,000 (joint \$300,000) for the previous two years and are expected to meet that requirement this year
- » Investors who have a net worth of at least \$1 million excluding primary residence
- » Reps registered and in good standing with the U.S. Securities and Exchange Commission (SEC), FINRA, and/or at least one state who have passed the Series 7, Series 65, Series 66, and/or the Series 82 exams
- » Knowledgeable employees of private funds (hedge funds, private-equity funds, and so on) who have the ability to raise money privately
- » Rural business investment companies (investment companies that raise money to invest in small rural businesses)
- » Limited liability companies (LLCs) with more than \$5 million in assets
- » Family offices with at least \$5 million in assets under management
- » Corporations, partnerships, or organizations with a net worth of at least \$5 million

Institutional investors

Institutional investors are the big guys. They are the ones that invest a lot of money on behalf of their entity. They are generally considered to be knowledgeable about the market. Institutional investors include

- » Commercial banks
- » Mutual funds
- » Pension funds
- » Insurance companies
- » Real-estate investment trusts
- » Hedge funds
- » Endowment funds

DEPOSITORY TRUST AND CLEARING CORPORATION

The DTCC provides safeguards to the world's financial markets. Its role is to provide clearing, settlement, institutional matching, asset servicing, collateral management, global data management, information services, and so on for equity securities, corporate bonds, municipal bonds, government securities, mortgage-backed securities, mutual funds, money market instruments, derivatives, and so forth. The DTCC is absolutely massive and processes more than 100 million financial transactions each trading day. Its key roles are to provide reliability to the global financial system, to provide after-trade services, to limit risk, to lower cost, to provide transparency, and to promote greater market efficiency. The services offered by the DTCC are

- Clearing services
- Matching, settlement, and asset services
- Collateral management
- Wealth management services
- Derivative services
- Data services

Testing Your Knowledge

So, you just learned about market participants and types of orders; it's time to see questions like those you'll experience on the SIE exam. Here's a small sampling of questions for you to ace.

Practice questions

1. Which two of the following are TRUE?
 - I. Dealers charge a markup or markdown for trades.
 - II. Dealers charge a commission for trades.
 - III. Brokers charge a markup or markdown for trades.
 - IV. Brokers charge a commission for trades.

(A) I and III
(B) I and IV
(C) II and III
(D) II and IV
2. Which of the following best describes a third market trade?

(A) Exchange-listed securities trading OTC
(B) Exchange-listed securities trading on the exchange floor
(C) Unlisted securities trading OTC
(D) Institutional trading without using the services of a broker-dealer

3. Which of the following orders would protect a short position?
- (A) Buy limit
 - (B) Sell limit
 - (C) Buy stop
 - (D) Sell stop
4. If an at-the-open order is not executed at the opening price, what happens to the order?
- (A) It is canceled.
 - (B) It becomes a market order.
 - (C) It becomes a day order.
 - (D) It becomes a limit order.
5. An investor with no other positions would like to purchase ABC common stock, which is currently trading at \$30.80. If this investor is interested in purchasing the stock for \$28 or less, you should suggest the investor enters a
- (A) buy stop limit order
 - (B) buy limit order
 - (C) buy stop order
 - (D) market order
6. Which of the following would be considered accredited investors?
- I. Banks
 - II. An individual investor with a net worth of \$2 million, excluding her primary residence
 - III. A corporation with a net worth of \$10 million
 - IV. Insurance companies
- (A) II and IV
 - (B) I and IV
 - (C) I, III, and IV
 - (D) I, II, III, and IV
7. Which TWO of the following are TRUE of short sellers?
- I. They are taking a bullish position.
 - II. They are taking a bearish position.
 - III. They have a maximum gain potential that is unlimited.
 - IV. They have a maximum loss potential that is unlimited.
- (A) I and III
 - (B) I and IV
 - (C) II and III
 - (D) II and IV

8. A not-held order gives a broker discretion as to
- (A) which security is traded
 - (B) the time at which a security is traded
 - (C) whether to purchase, sell, or sell short a security
 - (D) all of the above
9. Which of the following order features allows for partial execution?
- (A) FOK
 - (B) AON
 - (C) IOC
 - (D) All of the above
10. Which TWO of the following are FALSE regarding unsolicited orders?
- I. They cannot be accepted without prior approval from a principal.
 - II. They can be accepted without prior approval from a principal.
 - III. They must be limited in size.
 - IV. They are not limited in size.
- (A) I and III
 - (B) I and IV
 - (C) II and III
 - (D) II and IV
11. Which of the following order features allows for partial execution?
- (A) Sell 2,500 shares at \$18.10 and buy 2,000 shares at \$18.30
 - (B) Buy 2,000 shares at \$18.10 and sell 2,500 shares at \$18.30
 - (C) Sell 250 shares at \$18.10 and buy 200 shares at \$18.30
 - (D) Buy 200 shares at \$18.10 and sell 250 shares at \$18.30
12. Mary and John have been married for several years. They have a combined income that has exceeded \$300,000 per year for the last four years and is expected to at least be that much for the current year. They would be considered a(n)
- (A) qualified institutional buyer (QIB)
 - (B) accredited investor
 - (C) institutional investor
 - (D) bank qualified investor
13. WXY Broker-Dealer charges a commission on a securities transaction. WXY Broker-Dealer has acted as a(n)
- (A) agent
 - (B) principal
 - (C) market maker
 - (D) dealer

- 14.** “Spread” in the over-the-counter (OTC) market refers to the difference between the
- (A)** highest bid and lowest ask price
 - (B)** lowest offer price and highest ask price
 - (C)** the opening and closing prices of a particular security
 - (D)** the “when issued” ask price
- 15.** Marvin Plimpton is an associated person but is not a licensed registered representative. Which of the following activities is Marvin permitted to engage in?
- (A)** Accepting unsolicited orders from a customer who resides in the same state
 - (B)** Discussing the plusses and minuses of a particular investment to an existing customer of the firm
 - (C)** Forwarding account opening forms to a new customer
 - (D)** Discussing investment objectives with a potential customer prior to handing the customer over to a licensed registered representative

Answers and explanations

1. **B.** Most brokerage firms are broker-dealers, meaning that they act as a middleman and deal out of their own inventory. When acting as a broker, a firm is buying or selling a security for a customer through another dealer. If executing a trade as a broker, the firm charges the customer a commission. Firms also act as dealers if they are buying and selling out of their own inventory. If acting as a dealer, the firm charges a markup when the customer buys and a markdown when the customer sells.
2. **A.** A third market trade is a trade of exchange-listed securities trading OTC. This type of trade takes place all the time.
3. **C.** Remember, stop orders are used for protection. So, in this case, you're looking for a stop order. Because the investor is short the security, they would have to buy themselves out of that position if the price of the security went in the wrong direction (up in this case). To protect a short position, an investor could enter a buy stop order.
4. **A.** At-the-open orders must be executed at the opening price; otherwise, the order must be cancelled. At-the-open orders allow for partial execution.
5. **B.** Because this investor would like to purchase the stock at a particular price or better and is not currently short the stock, you should enter a buy limit order for ABC common stock at \$28.
6. **D.** Actually, all of the choices listed are considered accredited investors. Accredited investors are able to handle more financial risk than average investors.
7. **D.** Short sellers are bearish because they want the price of the security they're purchasing to decrease. Because short sellers can lose money if the price of the security increases, their maximum loss potential is unlimited because there is nothing from keeping the price of the security from increasing more.
8. **B.** Not held orders have to do with the timing of an order. So, for not-held orders, the customer must agree to whether they want to buy, sell, or sell short a security as well as the number of shares. A not-held order is one in which the customer is giving you, their registered rep, discretion as to the time an order is placed. This may be a situation in which you think that you can get the customer a better price later in the day.
9. **C.** If you remember what the initials stand for, it makes the question a lot easier. FOK stands for fill or kill, which means that the entire order must be either filled immediately or killed (canceled). AON stands for all-or-none, which means that the entire order must be filled entirely (but not immediately) or none of the order gets executed. The one that allows for partial execution is an IOC (immediate or cancel) order, which means that the broker has to execute as much of the order as possible immediately and cancel the rest.
10. **A.** Remember, you're looking for false answers to this question. Unsolicited orders are ones in which the investor tells the registered rep which securities they want to purchase, sell, or sell short. Although orders must be approved by a principal, they don't have to be approved prior to the order being placed. In addition, there are no limits to the size of the order regarding unsolicited orders; they are only limited based on the investor's ability to pay.

- 11. B.** The first price (18.10) is the bid price (the price at which the market maker is willing to purchase the security). The second price (18.30) is the ask price that the market maker is willing to accept when selling the security. The “20x25” represents the number of round lots the market maker is willing to buy or sell. Unless told differently, a round lot is 100 shares. Therefore, the market maker is willing to buy up to 2,000 shares at \$18.10 and sell up to 2,500 shares at \$18.30.
- 12. B.** As a married couple, accredited investors are ones that have a joint income of at least \$300,000 for the previous two years and is expected to be at least \$300,000 for the current year.
- 13. A.** Brokers act as middlemen in a securities transaction. They’re putting a buyer and seller together to make a trade. As such, they charge a commission. A good way to remember this is to think of a real estate agent or broker. Real estate agents or brokers charge a commission for selling someone else’s house to a buyer.
- 14. A.** The term “spread” refers the difference between the highest bid price (the most a market maker is willing to pay to purchase the security) and the lowest ask (offer) price (the least a market maker will take when selling the security). Typically, the narrower the spread, the more actively traded the security.
- 15. C.** Since Marvin is not licensed, he cannot discuss anything relating to investments with an existing customer or potential customer. If he cannot do that, he certainly cannot accept orders (whether solicited or not) from a customer. However, he can do things such as sending account opening forms to a new customer.

